DINO POLSKA S.A.

FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2017
WITH THE AUDIT REPORT OF THE INDEPENDENT AUDITOR

Krotoszyn, 16 March 2018
Unofficial translation. Only the original Polish text is binding.

Introduction to the financial statements 4
1. General information 4
2. Going concern assumption 4
3. Mergers of commercial companies 4
4. Adopted accounting principles (policies) 4
4.1. Format and grounds for drawing up the financial statements 4
4.2. Intangible assets 4
4.3. Fixed assets 5
4.4. Fixed assets under construction 5
4.5. Related entities 5
4.6. Investments in subordinated entities, capital exposure and other non-current investments 5
4.7. Other short-term investments (excluding cash and financial assets) 6
4.8. Financial assets 6
4.9. Leases 7
4.10. Inventories 7
4.11. Short and long-term receivables 7
4.12. Transactions denominated in a foreign currency 7
4.13. Cash and cash equivalents 8
4.14. Deferred revenue 8
4.15. Share capital 8
4.16. Provisions 8
4.17. Bank loans, other loans and financial liabilities held for trading 8
4.18. Cost of external financing 8
4.19. Deferred tax 9
4.20. Recognition of revenues 10
Balance sheet 11
Profit and loss account (comparable version) 13
Statement of changes in equity 14
Statement of cash flows (indirect method) 15
Notes and explanations 16
1. Information about significant events concerning the previous years captured in the financial statements for the financial year 16
2. Information about significant events that occurred after the balance sheet date and that have not been captured in the financial statements 16
3. Changes in the accounting principles (policies) in the financial year 16
4. Correction of errors 16
5. Comparability of the financial data for the previous year and the data from the financial statements for the current financial year 16
6. Intangible assets 16
7. Property, plant and equipment 18
8. Investments 20
8.1. Non-current investments 20
8.2. Current investments 21
9. Accruals and prepayments 21
10. Capital 21
11. Interest-bearing bank credit and loans and other financial liabilities 22
12. Profit distribution 23

12.1. Profit distribution for the previous year ... 23
12.2. Profit distribution ... 23
13. Provisions ... 23
14. Impairment losses for receivables ... 23
15. Non-current liabilities ... 24
16. Social assets and liabilities ... 25
17. Accruals and deferred revenue ... 25
18. Liabilities secured on the entity's assets ... 26
19. Contingent liabilities, also including the guarantees and sureties extended by the entity, also on bills of exchange ... 29
20. Other agreements not incorporated in the balance sheet ... 29
21. Sales split by nature and territory ... 29
22. Impairment losses for fixed assets ... 30
23. Interest and FX gains and losses added to the price of buying merchandise or the cost of manufacturing products in the financial year ... 30
24. Inventories measured at net sales price ... 30
25. Information concerning revenues, expenses and the results of discontinued activity in the financial year or of activity that is expected to be discontinued next year ... 30
26. Income tax ... 30
27. Other operating income ... 32
28. Other operating expenses ... 32
29. Financial income ... 33
30. Financial expenses ... 33
31. Cost of manufacturing fixed assets under construction ... 33
32. Income and costs of an extraordinary amount or that occurred incidentally ... 33
33. Composition of cash in the statement of cash flows ... 34
34. Reasons for differences between the balance sheet movements in some line items and the movements following from the statement of cash flows ... 34
35. Information concerning headcount with a breakdown into occupational groups ... 34
36. Information concerning the fee charged by the statutory auditor or the entity authorized to audit the financial statements ... 35
37. Information concerning compensation, including compensation from profit and pension benefits paid or due to persons in the managing and supervising or administering bodies ... 35
38. Information about loans and benefits of a similar nature extended to persons in the managing and supervising or administering bodies ... 36
39. Information about joint ventures not subject to consolidation ... 36
40. Information about the group and transactions with related entities ... 36
41. Transactions with other related parties on a non-arm's length basis ... 42
42. List of entities in which the company is a shareholder incurring unlimited material liability ... 42
43. List of entities in which the company holds capital or votes in the entity's decision-making body ... 43
44. Avoidance of preparation of consolidated financial statements ... 44
45. Mergers of commercial companies ... 44
46. Financial instruments ... 44
47. Events after the reporting period ... 46

INTRODUCTION TO THE FINANCIAL STATEMENTS

1. GENERAL INFORMATION

DINO Polska S.A. ("Company") was established by notary deed on 9 November 2007.

The Company is entered in the register of commercial undertakings of the National Court Register kept by the District Court, 9th Commercial Division of the National Court Register under file number KRS 0000408273.

The Company has been given the following statistical number: REGON 300820828.

The Company's registered office is located at the following address: Ostrowska 122, 63-700 Krotoszyn.

The Company's duration is unlimited.

According to the Company's articles of association, the Company's core business is:

1. 47.11.Z Retail sale in non-specialized stores with food, beverages or tobacco products predominating,
2. 46.39.Z Non-specialized wholesale of food, beverages and tobacco products.

These financial statements have been prepared for the year ended 31 December 2017.

2. GOING CONCERN ASSUMPTION

The Company's financial statements were drawn up under the assumption that the Company remains a going concern for at least 12 months after the balance sheet date, i.e. after 31 December 2017. As at 31 December 2017, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized and suppliers offer deferred payment terms.

At the same time, the Company intensively develops its network using free cash and funding from bank loans to increase the value of new investments. Conditions precedent related to the loan agreements are monitored on an ongoing basis and as of now there is no risk of termination of these agreements by the banks. The Company's Management Board did not identify, as at the date of signing the financial statements, any other facts or circumstances that would point to any threat to the Company's ability to continue its activity for at least 12 months after the balance sheet date as a result of intentional or induced discontinuation or material curtailment of its existing activity.

3. MERGERS OF COMMERCIAL COMPANIES

In the financial year for which the financial statements were drawn up, the Company did not merge with any other business entity and did not purchase any organized part of any enterprise.

4. ADOPTED ACCOUNTING PRINCIPLES (POLICIES)

4.1. Format and grounds for drawing up the financial statements

The financial statements were drawn up pursuant to the provisions of the Accounting Act of 29 September 1994 (hereinafter "Accounting Act").

The financial statements have been prepared under the historical cost convention.

The Company has drawn up its profit and loss account by using the comparative format. The statement of cash flows has been drawn up using the indirect method.

4.2. Intangible assets

Intangible assets are recognized if it is likely that they will precipitate receipt of economic benefits by the Company which may be directly linked to these assets. Intangible assets are initially captured at purchase price or production cost. After the initial capture, intangible assets are carried at purchase price or production cost minus accumulated amortization and impairment charges. Intangible assets are amortized by a straight-line method over the period corresponding to the estimated period of their economic utility.

The anticipated period of economic utility is as follows:

Patents, licenses and trademarks	2 - 20 years

Software	2 - 7 years
Other intangible assets	Not applicable

The estimates of the period of economic utility and the amortization method are reviewed at the end of every financial year to verify whether the applied methods and the amortization period are consistent with the expected distribution of economic benefits generated by these intangible assets.

As at the balance sheet date, the Company evaluates whether the carrying value of presented assets does not exceed the value of future expected economic benefits. If there are grounds indicating such a fact, the carrying value of the assets is reduced to the net sale price level. Impairment charges are posted in other operating expenses.

4.3. Fixed assets

Fixed assets are carried at purchase price or production cost minus accumulated depreciation or impairment charges. In the case of perpetual usufruct right to land, the purchase price is construed as the price of purchase of the right from a third party or surplus of the first fee over the annual fee if the right was acquired for a fee from the municipality. Land is carried at purchase price minus any impairment charges.

As at 31 December 2017 the Company had no fixed assets subject to revaluation.

The costs incurred after commencing the usage of a fixed asset, such as the costs of repair, inspections and user fees, affect the financial result of the financial year in which they were incurred. However, if it is possible to prove that these costs increased the expected future economic benefits on account of holding the fixed asset, surpassing the benefits assumed originally, then they increase the initial value of the fixed asset.

Fixed assets, with the exception of land, are depreciated by using the straight-line method corresponding to the expected period of their economic utility or over the shorter of the two periods:

Perpetual usufruct right to land	Not depreciated
Buildings, premises, rights to premises and civil and marine engineering facilities	10 - 40 years
Technical equipment and machinery	3 - 12 years
Means of transport	5 - 7 years
Other fixed assets	3 - 12 years

The estimates of the period of economic utility and the depreciation method are reviewed at the end of every financial year to verify whether the applied methods and the depreciation period are consistent with the expected distribution of economic benefits generated by that fixed asset over time.

As at the balance sheet date, the Company evaluates whether the carrying value of presented assets does not exceed the value of future expected economic benefits. If there are grounds indicating such a fact, the carrying value of the assets is reduced to the net sale price level. Impairment charges are posted in other operating expenses.

4.4. Fixed assets under construction

Fixed assets under construction are carried at the total amount of costs directly related to their purchase or manufacture, including financial expenses, minus impairment charges. Investment materials are also shown in fixed assets under construction. Fixed assets under construction are not depreciated until their construction is completed and they are commissioned.

4.5. Related entities

The Company construes related entities as two or more companies from a group where a group is understood as a parent company together with its subsidiaries.

4.6. Investments in subordinated entities, capital exposure and other non-current investments

Investments in subordinated entities comprise investments in subsidiaries, co-subsidiaries and affiliates. The Company construes subsidiaries as entities controlled by the Company, co-subsidiaries as entities co-controlled by the shareholders under a shareholder agreement, and affiliates as entities in which it has capital exposure and on which it has significant influence. At the same time exposure to capital of another entity is understood by the Company as any share in the equity of such other entity that has the nature of a permanent relation. In the case of an affiliate, a permanent relation is present always unless disposal of the share soon after the date of its acquisition, purchase or obtaining in another form is highly probable.

Investments in subsidiaries, co-subsidiaries and affiliates are carried at historical cost minus any impairment.

Other non-current investments (excluding financial assets as described in note 4.8) are carried at historical cost minus any impairment.

Impairment of shares in subordinated entities and other non-current investments is estimated as at every balance sheet date. The carrying value of such assets is each time reviewed to determine whether or not it exceeds the value of future economic benefits.

4.7. Other short-term investments (excluding cash and financial assets)

Other short-term investments, except for cash and financial instruments, are marked to the lower of the market price (value), while short-term investments for which there is no active market, are carried at fair value.

The effects of increase or decrease of the value of short-term investments at market prices (values) are posted directly to financial income or cost.

4.8. Financial assets

Financial assets, at the time they are entered in the accounting ledgers, are carried at cost (purchase price) constituting the fair value of the amount paid. Transaction costs are included in the initial value of the financial instruments. Financial assets are posted in the accounting ledgers as at the transaction date.

After the initial recognition, financial assets are classified in one of the four categories and measured as follows:

	Category	*Valuation method*
1.	Financial assets held to maturity	At the adjusted purchase price (amortized cost) calculated using the effective interest rate
2.	Granted loans and own receivables	At the adjusted purchase price (amortized cost) calculated using the effective interest rate. Receivables with a short-term maturity, for which no interest rate was defined, are carried at the required payment amount
3.	Financial assets held for trading	At fair value and gains/losses on their revaluation are posted to the profit and loss account
4.	Financial assets available for sale	At fair value, while gains/losses on their revaluation are recognized in the profit and loss account until the investment is sold or its value is impaired. At that moment, the overall revaluation gain/loss is recorded in the profit and loss account

The fair value of financial instruments traded on an active market is calculated in reference to the prices quoted on that market as at the balance sheet date. If no market price is quoted, then the fair value is estimated on the basis of a quoted market price of a similar instrument or according to the expected cash flows.

Impairment of financial assets

As at every balance sheet date, the Company evaluates whether there is objective evidence indicating impairment of a financial asset or a group of financial assets. If such evidence exists, the Company determines the asset value that may be estimated to be recoverable and posts an impairment loss in the amount of the difference between the recoverable amount and the carrying amount.

Impairment losses concerning a single financial asset or a portfolio of similar financial assets are determined:

1) for financial assets carried at adjusted purchase price – as the difference between the value of such assets resulting from the accounting ledgers as at the valuation date and the recoverable amount. The recoverable amount is the present value of future cash flows expected by the entity, discounted by the effective interest rate applied hitherto by the entity in its valuation of the financial asset being revalued or the portfolio of similar financial assets being revalued,
2) for financial assets carried at fair value – as the difference between the purchase price of the relevant asset and its fair value determined as at the valuation date, where the fair value of debt financial instruments as at the valuation date is construed as the present value of future cash flows expected by the entity, discounted by the

current market interest rate applied to similar financial instruments. Accumulated loss captured hitherto in revaluation capital is posted to financial expenses in an amount of no less than the charge minus the part directly posted to financial expenses,

3) for other financial assets – as the difference between the value of the relevant asset resulting from the accounting ledgers and the present value of future cash flows expected by the entity, discounted by the current market interest rate applied to similar financial instruments.

4.9. Leases

The Company is a party to leasing agreements pursuant to which it accepts third party fixed assets or intangibles to use them or draw benefits from them against a charge for an agreed period of time.

In the case of leasing agreements which transfer generally the entire risk and all benefits resulting from holding the assets subject to the agreement, the leased item is presented as a fixed asset in the balance sheet and at the same time a liability is posted in the amount equal to the present value of minimum leasing fees set on the leasing commencement date.

Leasing fees are allocated to financial expenses and to the reduction of principal debt balance in a manner enabling the achievement of a fixed interest rate on the outstanding liability. Financial expenses are captured directly in the profit and loss account.

Fixed assets subject to a financial leasing agreement are depreciated according to the method applied to own fixed assets. However, if there is no control over the moment of transfer of the ownership title to the leased item or certainty whether such transfer has been effected, then fixed assets used under financial leasing agreements are depreciated over the shorter of the two following periods: the expected utilization period or the leasing period.

4.10. Inventories

Inventories are measured at purchase price, no higher than their net realizable price.

The purchase price or the production cost of an inventory component takes into account the costs of purchase, the costs of conversion and other equipment costs incurred in bringing the inventories to make their present location and condition - both in terms of the current and the previous year - and are determined as follows:

Materials	at purchase price using the “first in, first out” method
Finished goods and work in progress	the cost of direct materials and labor and an appropriate overhead of indirect manufacturing costs determined under the assumption of normal production capacity utilization, excluding external financing expenses
Merchandise	at purchase price using the “first in, first out” method

The net realizable price is the estimated sales price that can be achieved in the course of the entity’s normal business, less the costs of finishing and the estimated costs required to finalize the sale. The costs of transport from the warehouse to the stores are an element of valuation of the inventories and cost of sales at the time of their sale.

4.11. Short and long-term receivables

Trade receivables are shown as the amount of the required payment minus the impairment losses.

Receivables are revalued taking into account the probability of their payment, by posting an impairment loss. Impairment losses against receivables are carried to other operating expenses or financial expenses, respectively, depending on the type of receivables to which the impairment loss applies.

Receivables that have been forgiven, expired or are uncollectible reduce the impairment loss posted previously.

Receivables that have been forgiven, expired or are uncollectible, for which impairment losses were not posted or where they were posted at a less than full amount, are included in other operating expenses or financial expenses. respectively.

4.12. Transactions denominated in a foreign currency

Transactions denominated in currencies other than the Polish zloty are converted into Polish zloty at the exchange rate applied on the date of the transaction or, if it is impossible to apply such an exchange rate, at the average exchange rate announced for the relevant currency by the National Bank of Poland on the date preceding the date of the transaction.

As at the balance sheet date, the assets and liabilities denominated in currencies other than the Polish zloty are converted into Polish zloty using the average exchange rate in force on that date for the relevant currency as announced by the National Bank of Poland. The foreign exchange gains and losses resulting from such conversion are captured respectively as financial income or financial expense line items or, in the cases defined by the law, are capitalized in the value of assets.

The following exchange rates have been adopted for the purposes of the valuation:

	31 December 2017	*31.12.2016*
EUR	4.1709	4.4240

4.13. Cash and cash equivalents

Cash at bank and in hand is valued at par value.

Cash and short-term deposits disclosed in the balance sheet include cash at bank and cash in hand, as well as short-term deposits with an original maturity of up to three months and cash in transit due to payment cards. The balance of cash and cash equivalents presented in the statement of cash flows consists of the aforementioned cash and cash equivalents.

4.14. Deferred revenue

The Company records accruals and prepayments of costs if they apply to future reporting periods. Accruals and pre-paid expenses are made at the amount of the probable liabilities for the current reporting period.

4.15. Share capital

Share capital is captured in the amount stated in the Company's articles of association and entered in the court register. If shares are subscribed for at a price exceeding their par value, the share premium is captured in supplementary capital. The costs incurred for the issue of new shares decrease supplementary capital from the issue of shares above par value to the amount of such capital. Other costs are classified as financial expenses.

Any advances toward the dividend disbursed during the year are presented in the accounting ledgers and in the balance sheet as profit distributions made during the financial year.

4.16. Provisions

Reserves are captured when an existing obligation (legal or customary) resulting from prior events is imposed on the Company and when it is certain or highly probable that the fulfillment of this obligation will require an outflow of the funds personalizing the economic benefits and when the amount of this liability can be estimated credibly.

4.17. Bank loans, other loans and financial liabilities held for trading

At the time of initial recognition, bank loans and other loans are carried at cost, corresponding to the value of received cash, taking into account the costs associated with obtaining the loan (transaction costs). Next, all bank loans and other loans, except for liabilities held for trading, are carried at adjusted purchase price (amortized cost) calculated using the effective interest rate.

Financial liabilities held for trading, including derivative instruments, are carried at fair value. Gains or losses on revaluation to fair value are posted to the profit and loss account for the current period.

4.18. Cost of external financing

The cost of external funding related to construction, adjustment, installation or improvement of fixed assets is captured, throughout the construction, adjustment, installation or improvement period, at the value of such assets, provided that these liabilities have been incurred for that purpose.

Financial expenses pertaining to financing with trade liabilities adjust the value of goods sold, inventories, liabilities and receivables, and are captured in the profit and loss account as interest cost.

4.19. Deferred tax

Deferred income tax is calculated by using the method of balance sheet liabilities in relation to all temporary differences as at the balance sheet date between the tax value of assets and liabilities and their balance sheet value shown in the financial statements.

The deferred income tax provision is recognized with reference to all positive temporary differences unless the deferred income tax provision is recognized as a result of depreciating goodwill or initial presentation of an asset or liability in a transaction which does not constitute a business combination and at the moment of its execution has no influence on the gross financial result and taxable income or taxable loss.

The deferred tax provision is recognized for all temporary gains resulting from investments in subsidiaries or affiliated entities and shares in co-subsidiaries with the exception of situations where the dates and amounts of temporary reversing differences are subject to inspection and where it is probable that in the foreseeable future the temporary differences will not be reversed.

The deferred income tax asset is carried, with respect to all negative temporary differences and unused tax losses brought forward to the subsequent years, at such a probable expected taxable income amount as will make it possible to use those differences and losses unless deferred tax assets are created as a result of an initial presentation of an asset or liability component in a transaction that does not constitute a merger of entities and at the moment of its execution it has no influence on the gross financial result, taxable income or taxable loss.

In the case of negative temporary differences resulting from shares in subsidiaries or affiliates and shares in co-subsidiaries, the deferred tax asset component is recorded in the balance sheet in the amount for which it is probable that in the foreseeable future those temporary differences will be reversed and taxable income will be achieved that will make it possible to deduct the negative temporary differences.

The balance sheet value of the deferred income tax asset is verified on every balance sheet date and is gradually reduced by the amount by which the achievement of taxable income sufficient for the deferred income tax asset is partially or fully realized.

Deferred income tax assets and deferred income tax provisions are carried using the tax rates which according to the regulations adopted before the balance sheet date apply in the period when the asset is realized or the provision reversed.

Uncertainty related to tax settlements

Regulations regarding VAT, corporate income tax and social security contributions are subject to frequent changes. These frequent changes result in there being little point of reference, interpretations not consistent and few established precedents that may be followed. The binding regulations also contain uncertainties resulting in differences in opinions regarding the legal interpretation of tax regulations both between government bodies, and between government bodies and companies.

Tax settlements and other areas of activity (e.g. customs or foreign currency related issues) may be subject to inspection by administrative bodies authorized to impose high penalties and fines, and any additional taxation liabilities calculated as a result must be paid together with high interest. These conditions mean that the tax risk in Poland is higher than in countries with a more mature fiscal system.

Accordingly, the amounts presented and disclosed in the financial statements may change in the future as a result of a final decision of tax audit authorities.

Effective 15 July 2016, the Polish Tax Code was amended for the General Anti-Abuse Rule (GAAR) provisions. GAAR is intended to prevent the creation and use of artificial legal arrangements to avoid payment of tax in Poland. GAAR defines tax avoidance as an act carried out primarily in order to achieve a tax benefit, contrary in the circumstances to the object and goal of a provision of a tax act. Pursuant to GAAR, such an act does not result in a tax benefit, if the mode of action was not genuine. All unjustified (i) split of operations, (ii) involvement of intermediary entities without any economic or business justification, (iii) elements that compensate or exclude each other and (iv) other actions with a similar effect to the previously mentioned, may be considered as prerequisites of artificial activities subject to GAAR. The new regulation will require significantly more judgment in assessment of the tax consequences of individual transactions.

The GAAR clause is effective with respect to transactions executed following its entry into force and transactions that were carried out before, but the benefits were / are being derived after the date of its entry into force.

Implementation of the above provisions will enable the Polish tax authorities to challenge legal arrangements used by the taxpayers such as group restructurings and reorganizations.

Deferred tax assets and deferred tax provisions are presented separately in the balance sheet.

4.20. Recognition of revenues

Revenues are recognized in the amount to which it is probable that the Company will obtain the economic benefits which may be valued credibly.

4.20.1. Sales of merchandise and products

Revenues are captured when the significant risk and benefits arising from the title to the merchandise or products are transferred to the buyer. Revenues include due or obtained amounts from sales minus value added tax.

Revenues on sales of services are presented as revenues on sales of products. These revenues are recognized at the time of completion of the service. Revenues related to the benefits from the sale of services to suppliers of goods (e.g. marketing services), the Group presents as a deduction in cost of goods purchased from such vendors.

4.20.2. Interest

Interest income is recognized at the time it is accrued (using the effective interest rate) if its receipt is not doubtful.

4.20.3. Dividends

Dividends due are posted as financial income as at the date of adoption of the resolution, by the Shareholder Meeting of the company in which the entity has invested, to distribute the profit by way of a dividend unless the resolution specifies another dividend right day.

4.20.4. Subsidies and grants

Subsidies and grants are carried at fair value in situations where there is sufficient certainty that the subsidy will be obtained and that all the conditions necessary to obtain the subsidy will be fulfilled. If the subsidy or grant is related to a cost item, then it is deferred in the balance sheet and regularly captured in the relevant income item in a manner ensuring commensurability with the costs intended to be offset by the subsidy.

If the purpose of the subsidy or grant is to finance the purchase or manufacturing of a fixed asset, then it is deferred in the balance sheet and captured as income throughout the period of depreciation of the fixed asset.

4.20.5. Social assets and liabilities of the Company Social Benefit Fund (ZFŚS)

Pursuant to the Company Social Benefit Fund Act of 4 March 1994 (as amended), the Company Social Benefit Fund must be established by employers employing at least 20 employees on an FTE basis. The Company does not charge and does not have funds for the Social Fund in accordance with paragraph 15 of the Remuneration Bylaws (consolidated version of 31 October 2013, as amended).

BALANCE SHEET

Assets

(in thousands of PLN)			*Note*	*As at 31.12.2017*	*As at 31.12.2016*
A.	**Non-current assets**			**1,540,524**	**1,237,533**
I.	**Intangible assets**		**6**	**10,284**	**10,439**
3.	Other intangible assets			10,284	10,439
II.	**Property, plant and equipment**		**7**	**773,768**	**456,604**
1.	Fixed assets			722,315	422,970
	a)	land (including the right of usufruct to land)		126,192	68,264
	b)	buildings, premises, rights to premises and civil and marine engineering facilities		323,573	134,048
	c)	technical equipment and machinery		145,299	114,065
	d)	means of transport		29,104	17,343
	e)	other fixed assets		98,147	89,250
2.	Fixed assets under construction			51,453	33,634
III.	**Non-current receivables**			**-**	**-**
IV.	**Non-current investments**			**738,809**	**727,151**
3.	Long-term financial assets			738,809	727,151
	a)	in related entities		738,809	727,151
		- ownership interests or shares	8.1	737,151	727,151
		- other securities	8.2	1,658	-
V.	**Non-current deferred revenue**			**17,663**	**43,339**
1.	Deferred tax assets		26	17,663	12,105
2.	Other deferred revenue			-	31,234
B.	**Current assets**			**711,149**	**484,944**
I.	**Inventories**			**358,573**	**270,798**
4.	Merchandise		24	358,573	270,798
II.	**Current receivables**			**62,821**	**49,827**
1.	Receivables from related entities		40	1,724	908
	a)	for goods and services with a term of payment:		1,206	510
		- up to 12 months		1,206	510
	b)	other		518	398
2.	Receivables from entities to which the company has equity exposure			-	-
3.	Receivables from other entities			61,097	48,919
	a)	for goods and services with a term of payment:		29,437	25,275
		- up to 12 months		29,437	25,275
	b)	on taxes, grants, customs duties, social security and health insurance or other public dues		26,566	17,607
	c)	other		5,094	6,037
III.	**Current investments**			**257,052**	**121,914**
1.	Current financial assets			257,052	121,914
	a)	in related entities	40	71,444	67,682
		- other securities	8.2	24,121	22,179
		- loans granted		47,323	45,503
	b)	in other entities		-	-
	c)	cash and other cash assets	33	185,608	54,232
		- cash on hand and on accounts		67,060	35,743
		- other cash		118,548	18,489
IV.	**Current deferred revenue**		**9**	**32,703**	**42,405**
C.	**Contributions due to share capital**			**-**	**-**
D.	**Treasury stock**			**-**	**-**
Total assets				**2,251,673**	**1,722,477**

Liabilities and equity

(in thousands of PLN)		*Note*	*As at 31.12.2017*	*As at 31.12.2016*
A.	**Equity**		**658,158**	**558,154**
I.	**Share capital**	**10**	**9,804**	**9,804**
II.	**Supplementary capital**		**548,350**	**268,902**
III.	**Revaluation reserve (fund)**		**-**	**-**
IV.	**Other reserve capital (fund)**		**-**	**-**
V.	**Profit (loss) brought forward**		**-**	**-**
VI.	**Net profit (loss)**		**92,504**	**279,448**
VII.	**Other items of equity**		**7,500**	**-**
B.	**Liabilities and provisions for liabilities**		**1,593,515**	**1,164,323**
I.	**Provisions for liabilities**	**13**	**18,219**	**19,323**
1.	Provision for deferred tax liability	26	16,849	12,426
2.	Provision for pension and similar benefits		1,370	6,897
	- non-current		1,048	1,024
	- current		322	5,873
II.	**Non-current liabilities**		**492,041**	**377,622**
1.	To related entities		-	-
2.	To other entities in which the company has equity exposure		-	-
3.	To other entities	11	492,041	377,622
	a) loans and borrowings		312,310	306,957
	b) for issue of debt securities		99,750	-
	c) other financial liabilities		79,981	70,665
III.	**Current liabilities**		**1,064,007**	**755,462**
1.	Liabilities to related entities	40	257,794	188,756
	a) for goods and services with a term of being due and payable:		157,264	119,171
	- up to 12 months		157,264	119,171
	b) other		100,530	69,585
2.	Liabilities to other entities in which the company has equity exposure		-	-
3.	Liabilities to other entities		806,213	566,706
	a) loans and borrowings	11	62,308	60,413
	b) for issue of debt securities	11	654	-
	c) other financial liabilities	11	40,384	38,051
	d) for goods and services with a term of being due and payable:		608,702	410,105
	- up to 12 months		608,702	410,105
	e) advances received for supplies and services		-	-
	f) liabilities for bills of exchange		-	-
	g) on taxes, customs duties, social security and health insurance or other public dues		45,435	28,507
	h) payroll		31,052	20,402
	i) other		17,678	9,228
IV.	**Deferred revenue**		**19,248**	**11,916**
1.	Negative goodwill		-	-
2.	Other deferred revenue	17	19,248	11,916
	- non-current		439	-
	- current		18,809	11,916
Total liabilities and equity			**2,251,673**	**1,722,477**

PROFIT AND LOSS ACCOUNT (COMPARABLE VERSION)

(in thousands of PLN)	*Note*	*Year ended 31.12.2017*	*Year ended 31.12.2016*
A. Net revenues on sales and equivalents	**21**	**4,501,266**	**3,357,936**
- from related entities		3,459	6,184
I. Net revenues on sales of products and services		8,474	6,369
IV. Net revenues on sales of goods and materials		4,492,792	3,351,567
B. Operating expenses		**(4,338,802)**	**(3,255,699)**
I. Depreciation and amortization		(61,180)	(43,059)
II. Consumption of materials and energy		(66,211)	(48,885)
III. External services		(299,161)	(250,366)
IV. Taxes and fees		(15,796)	(10,511)
V. Salaries		(359,705)	(262,095)
VI. Social security and other benefits, of which:		(76,623)	(55,392)
- pension		(33,384)	(23,792)
VII. Other costs by nature		(16,880)	(12,371)
VIII. Cost of goods and materials sold		(3,443,246)	(2,573,020)
C. Sales profit (loss) (A – B)		**162,464**	**102,237**
D. Other operating income	**27**	**2,765**	**2,080**
I. Profit on disposal of non-financial non-current assets		-	-
II. Grants		371	-
III. Revaluation of non-financial assets		-	-
IV. Other operating income		2,394	2,080
E. Other operating expenses	**28**	**(1,924)**	**(1,980)**
I. Loss on disposal of non-financial non-current assets		(1,193)	(754)
II. Revaluation of non-financial assets		-	-
III. Other operating expenses		(731)	(1,226)
F. Operating profit (loss) (C+D-E)		**163,305**	**102,337**
G. Financial income	**29**	**5,944**	**232,264**
I. Dividends i profit sharing		-	229,169
II. Interest, including:		5,892	3,065
- from related entities		5,499	2,685
III. Profit on disposal of financial assets		-	-
IV. Revaluation of financial assets		-	-
V. Other		52	30
H. Financial expenses	**30**	**(43,717)**	**(38,571)**
I. Interest, including:		(37,194)	(31,952)
- to related entities		(2,168)	(3,859)
II. Loss on disposal of financial assets, including:		-	-
III. Revaluation of financial assets		-	-
IV. Other		(6,523)	(6,619)
I. Profit (loss) before tax (F + G + H)		**125,532**	**296,030**
J. Income tax	**26**	(33,028)	(16,582)
K. Other mandatory decreases of profit (increases of loss)		**-**	**-**
L. Net profit (loss) (I – J – K)		**92,504**	**279,448**

STATEMENT OF CHANGES IN EQUITY

(in thousands of PLN)	*Note*	*Year ended 31.12.2017*	*Year ended 31.12.2016*
I. Equity at the beginning of the period (OB)		**558,154**	**278,706**
I.a. Equity at the beginning of the period (OB), adjusted		**558,154**	**278,706**
1. Share capital at the beginning of the period		9,804	9,804
1.1. Movement in share capital		-	-
1.2. Share capital at the end of the period	**10**	**9,804**	**9,804**
2. Supplementary capital at the beginning of the period		268,902	234,475
2.1. Changes to supplementary capital		279,448	34,427
(i) increase		279,448	34,427
- profit distribution	12.1	279,448	34,427
b) decrease		-	-
2.2. Balance of supplementary capital at the end of the period		**548,350**	**268,902**
3. Revaluation reserve at the beginning of the period		-	-
3.1. Changes in the revaluation reserve		-	-
3.2. Revaluation reserve at the end of the period		-	-
4. Other reserve capital at the beginning of the period		-	-
4.1. Change in other reserve capital		-	-
4.2. Other reserve capital at the end of the period		**-**	**-**
5. Profit (loss) brought forward at the beginning of the period		279,448	34,427
5.1. Profit brought forward at the beginning of the period		279,448	34,427
5.2. Profit carried forward at the beginning of the period, adjusted		279,448	34,427
(i) increase		-	-
b) decrease		(279,448)	(34,427)
- distribution of profits brought forward	12.1	(279,448)	(34,427)
5.3. Profit brought forward at the end of the period		-	-
5.4. Loss brought forward at the beginning of the period		-	-
5.5. Loss brought forward at the beginning of the period, adjusted		-	-
5.6. Losses brought forward at the end of the period		-	-
5.7. Profit (loss) brought forward at the end of the period		**-**	**-**
6. Net result		**92,504**	**279,448**
a) net profit		92,504	279,448
b) net loss		-	-
c) charges to profit		-	-
7. Other items of equity		**7,500**	
II. Equity at the end of the period (CB)		**658,158**	**558,154**
III. Equity after considering the proposed distribution of profits (coverage of losses)		**658,158**	**558,154**

STATEMENT OF CASH FLOWS (INDIRECT METHOD)

(in thousands of PLN)	*Note*	*Year ended 31.12.2017*	*Year ended 31.12.2016*
A. Cash flow from operating activities			
I. Net profit (loss)		**92,504**	**279,448**
II. Total adjustments		**313,251**	**(14,660)**
1. Depreciation and amortization		61,180	43,059
2. Gains (losses) arising from changes in foreign currency exchange rates		-	-
3. Interest and profit sharing (dividends)	34	38,100	(193,756)
4. Profit (loss) on investing activity	34	1,193	754
5. Movement in provisions		(1,105)	10,504
6. Movement in inventories		(87,775)	(61,367)
7. Movement in receivables	34	(13,255)	(21,506)
8. Movement in current liabilities, except for loans and borrowings	34	264,702	165,426
9. Movement in prepayments, accruals and deferred revenue		42,711	42,226
10. Other adjustments		7,500	-
III. Net cash from operating activities (I±II)		**405,755**	**264,788**
B. Cash flow from investing activities			
I. Inflows		**20,218**	**58,880**
1. Sale of intangible assets and property, plant and equipment		7,360	3,583
2. Sale of investments in real property and intangible assets		-	-
3. From financial assets, of which:		12,858	55,297
a) in related entities		12,465	54,917
b) in other entities		393	380
- interest		393	380
II. Outflows		**(359,858)**	**(248,640)**
1. Purchase of intangible assets and property, plant and equipment		(337,472)	(180,413)
2. Investments in real property and intangible assets		-	-
3. Towards financial assets, of which:		(22,386)	(68,227)
a) in related entities		(22,386)	(68,227)
III. Net cash from investing activities (I-II)		**(339,640)**	**(189,760)**
C. Cash flow from financing activities			
I. Inflows		**239,203**	**152,393**
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions		-	-
2. Loans and borrowings		101,203	152,393
3. Issue of debt securities		138,000	-
4. Other financial proceeds		-	-
II. Outflows		**(173,942)**	**(199,045)**
1. Purchase of treasury shares		-	-
2. Dividends and other distributions to owners		-	-
4. Repayment of loans and borrowings		(81,940)	(122,325)
5. Redemption of debt securities		(2,000)	-
6. On account of other financial liabilities		-	-
7. Payment of finance lease liabilities		(48,220)	(40,253)
8. Interest		(35,661)	(30,392)
9. Other financial expenditures		(6,121)	(6,075)
III. Net cash from financing activities (I-II)		**65,261**	**(46,652)**
D. Total net cash flow (A.III±B.III±C.III)		**131,376**	**28,375**
E. Balance sheet movement in cash, including		**131,376**	**28,375**
- movement in cash arising from changes in foreign currency exchange rates		-	-
F. Cash at the beginning of the period		**54,232**	**25,857**
G. Cash at the end of the period (F±D), including	**33**	**185,608**	**54,232**
- restricted cash		-	-

NOTES AND EXPLANATIONS

1. INFORMATION ABOUT SIGNIFICANT EVENTS CONCERNING THE PREVIOUS YEARS CAPTURED IN THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR

Up to the date of preparing the financial statements for the financial year, i.e. until 16 March 2018, no significant events occurred during previous years that should be captured in the financial year's financial statements.

2. INFORMATION ABOUT SIGNIFICANT EVENTS THAT OCCURRED AFTER THE BALANCE SHEET DATE AND THAT HAVE NOT BEEN CAPTURED IN THE FINANCIAL STATEMENTS

After the balance sheet date and up to the date of drawing up the financial statements for the financial year, i.e. until 16 March 2018, no significant events occurred that were not captured in the financial year's financial statements.

3. CHANGES IN THE ACCOUNTING PRINCIPLES (POLICIES) IN THE FINANCIAL YEAR

Financial statements for the current and previous financial year have been made using the same accounting principles (policies) and data presentation methods in the financial statements.

4. CORRECTION OF ERRORS

During the financial year there were no corrections of errors which could have impact on comparability of the financial data for the previous year and the data from the financial statements for the current financial year.

5. COMPARABILITY OF THE FINANCIAL DATA FOR THE PREVIOUS YEAR AND THE DATA FROM THE FINANCIAL STATEMENTS FOR THE CURRENT FINANCIAL YEAR

Other changes and/or adjustments

In the current year the Company did not make any changes to the accounting policies or correct any errors and consequently it was not obligated to present figures ensuring comparability of the financial statements for the previous financial year with the financial statements for the current financial year.

6. INTANGIBLE ASSETS

Year ended 31 December 2017

(in thousands of PLN)	*Costs of completed development work*	*Goodwill*	*Other intangible assets*	*Advance payments towards intangible assets*	*Total*

Initial value					
Opening balance	**-**	**-**	**17,061**	**-**	**17,061**
Increases, including:	-	-	2,043	-	2,043
Purchase	-	-	2,043	-	2,043
Decreases	-	-	-	-	-
Closing balance	**-**	**-**	**19,104**	**-**	**19,104**
Amortization					
Opening balance	**-**	**-**	**6,622**	**-**	**6,622**
Increases, including:	-	-	2,198	-	2,198
Amortization in the period	-	-	2,198	-	2,198
Decreases	-	-	-	-	-
Closing balance	**-**	**-**	**8,820**	**-**	**8,820**
Net value					
Opening balance	**-**	**-**	**10,439**	**-**	**10,439**
Closing balance	**-**	**-**	**10,284**	**-**	**10,284**

Year ended 31 December 2016

(in thousands of PLN)	*Costs of completed development work*	*Goodwill*	*Other intangible assets*	*Advance payments towards intangible assets*	*Total*
Initial value					
Opening balance	**-**	**-**	**14,367**	**-**	**14,367**
Increases, including:	-	-	2,716	-	2,716
Purchase	-	-	2,716	-	2,716
Decreases, including:	-	-	(22)	-	(22)
Decreases	-	-	(22)	-	(22)
Closing balance	**-**	**-**	**17,061**	**-**	**17,061**
Amortization					
Opening balance	**-**	**-**	**4,535**	**-**	**4,535**
Increases, including:	-	-	2,109	-	2,109
Amortization in the period	-	-	2,109	-	2,109
Decreases, including:	-	-	(22)	-	(22)
Decreases	-	-	(22)	-	(22)
Closing balance	**-**	**-**	**6,622**	**-**	**6,622**
Net value					
Opening balance	**-**	**-**	**9,832**	**-**	**9,832**
Closing balance	**-**	**-**	**10,439**	**-**	**10,439**

7. PROPERTY, PLANT AND EQUIPMENT

Year ended 31 December 2017

	Land and buildings	*Machinery and equipment*	*Means of transport*	*Other fixed assets*	*Construction in progress*	*Total*
Gross value as at 1 January	**208,339**	**166,957**	**23,747**	**147,866**	**33,634**	**580,543**
Purchases	-	-	-	-	387,414	387,414
Sales	(4,063)	(1,343)	(64)	(1,122)	(2,721)	(9,313)
Liquidation*	(277)	150	(699)	(5,297)	(998)	(7,121)
Transfer from fixed assets under construction	258,421	55,786	17,539	34,130	(365,876)	-
Gross value as at 31 December	**462,420**	**221,550**	**40,523**	**175,577**	**51,453**	**951,523**
Accumulated depreciation and impairment losses as at 1 January	**6,027**	**52,892**	**6,404**	**58,616**	**-**	**123,939**
Depreciation charge for the period	6,636	23,278	5,704	23,364	-	58,982
Sales	(6)	(2)	(54)	(43)	-	(105)
Liquidation*	(2)	83	(635)	(4,507)	-	(5,061)
Accumulated depreciation and impairment losses as at 31 December	**12,655**	**76,251**	**11,419**	**77,430**	**-**	**177,755**
Net value as at 1 January	**202,312**	**114,065**	**17,343**	**89,250**	**33,634**	**456,604**
Net value as at 31 December	**449,765**	**145,299**	**29,104**	**98,147**	**51,453**	**773,768**

** The line item entitled liquidation of machinery and equipment includes the reclassification between groups of current fixed assets.*

Year ended 31 December 2016

	Land and buildings	*Machinery and equipment*	*Means of transport*	*Other fixed assets*	*Construction in progress*	*Total*
Gross value as at 1 January	**48,907**	**124,146**	**13,640**	**114,608**	**21,706**	**323,007**
Purchases	-	-	-	-	266,466	266,466
Sales	-	(187)	(548)	(107)	(2,974)	(3,816)
Decreases	(510)	(694)	(178)	(3,502)	(230)	(5,114)
Transfer from fixed assets under construction	159,942	43,692	10,833	36,867	(251,334)	-
Gross value as at 31 December	**208,339**	**166,957**	**23,747**	**147,866**	**33,634**	**580,543**
Accumulated depreciation and impairment losses as at 1 January	**3,417**	**35,731**	**4,171**	**44,200**	**-**	**87,519**
Depreciation charge for the period	2,748	17,628	2,891	17,683	-	40,950
Sales	-	(15)	(480)	(4)	-	(499)
Decreases	(138)	(452)	(178)	(3,263)	-	(4,031)
Accumulated depreciation and impairment losses as at 31 December	**6,027**	**52,892**	**6,404**	**58,616**	**-**	**123,939**
Net value as at 1 January	**45,490**	**88,415**	**9,469**	**70,408**	**21,706**	**235,488**
Net value as at 31 December	**202,312**	**114,065**	**17,343**	**89,250**	**33,634**	**456,604**

As at 31 December 2017, the value of land in perpetual usufruct was PLN 12,855 thousand (PLN 4,377 thousand as at 31 December 2016).

As at 31 December 2017, fixed assets with the net value of PLN 176,760 thousand were used on the basis of financial lease agreements (PLN 152,903 thousand as at 31 December 2016).

As at 31 December 2017, based on operational lease, rental, lease and other agreements (except for financial lease agreements), the Company used fixed assets with the value of approx. PLN 797,336 thousand (PLN 781,770 thousand as at 31 December 2016).
Capital expenditures carried out in the current financial year were PLN 387,414 thousand (PLN 266,466 thousand in 2016). In 2017 and 2016, there were no expenditures related to environmental protection. The capital expenditures planned for 2018 are PLN 400,000 thousand.

As at 31 December 2017 and 31 December 2017, the Company did not have any liabilities towards the state budget or local government units by virtue of obtaining the ownership right to buildings and structures or cost of service (including exchange gains and losses) of liabilities incurred to finance fixed assets under construction captured in the manufacturing cost (purchase price).

8. INVESTMENTS

8.1. Non-current investments

Year ended 31 December 2017

(in thousands of PLN)	*Real estate*	*Intangible assets*	*Long-term financial assets in related entities*	*Long-term financial assets in other entities in which the entity has capital exposure*	*Long-term financial assets in other entities*	*Total*
Opening balance, including:	**-**	**-**	**727,151**	**-**	**-**	**727,151**
Gross value	-	-	727,151	-	-	727,151
Increases, including:	-	-	11,658	-	-	11,658
Purchase	-	-	10,000	-	-	10,000
Other	-	-	1,658	-	-	1,658
Decreases, including:	-	-	-	-	-	-
Other	-	-	-	-	-	-
Closing balance, including:	**-**	**-**	**738,809**	**-**	**-**	**738,809**
Gross value	-	-	738,809	-	-	738,809

Year ended 31 December 2016

(in thousands of PLN)	*Real estate*	*Intangible assets*	*Long-term financial assets in related entities*	*Long-term financial assets in other entities in which the entity has capital exposure*	*Long-term financial assets in other entities*	*Total*
Opening balance, including:	**-**	**-**	**522,397**	**-**	**-**	**522,397**
Gross value	-	-	522,397	-	-	522,397
Increases, including:	-	-	613,387	-	-	613,387
Purchase	-	-	613,387	-	-	613,387
Decreases, including:	-	-	(408,633)	-	-	(408,633)
Other	-	-	(408,633)	-	-	(408,633)
Closing balance, including:	**-**	**-**	**727,151**	**-**	**-**	**727,151**
Gross value	-	-	727,151	-	-	727,151

In 2017, Dino Polska S.A. purchased additional shares in the subsidiary Dino Południe sp. z o.o.

In connection with reorganization of the Group aimed at sorting out its structure, the process of liquidation of Vitrena Holdings Ltd. and Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych was started. As a result of the undertaken efforts, the Company's shareholding in the capital of Vitrena Holding Ltd. dropped from PLN 406,833 thousand to PLN 4 thousand and the investment certificates of Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych in the amount of PLN 636,436 were redeemed. In 2016 the Company acquired shares in Centrum Wynajmu Nieruchomości 1-6 S.A. in the amount of PLN 613,385 thousand.

8.2. Current investments

Current investments, net of cash and other cash assets involve the following:

Year ended 31 December 2017

(in thousands of PLN)	*Ownership interests and shares*	*Other securities*	*Loans granted*	*Total*
Opening balance, including:	-	22,179	45,503	67,682
Gross value	-	22,179	45,503	67,682
Increases, including:	-	3,661	12,447	16,108
Purchase	-	3,661	12,447	16,108
Decreases, including:	-	(1,719)	(10,627)	(12,346)
Other	-	(1,719)	(10,627)	(12,346)
Closing balance, including:	**-**	**24,121**	**47,323**	**71,444**
Gross value	-	24,121	47,323	71,444

Year ended 31 December 2016

(in thousands of PLN)	*Ownership interests and shares*	*Other securities*	*Loans granted*	*Total*
Opening balance, including:	**-**	**-**	**29,301**	**29,301**
Gross value	-	-	29,301	29,301
Increases, including:	-	40,218	70,913	111,131
Purchase	-	40,218	70,913	111,131
Decreases, including:	-	(18,039)	(54,711)	(72,750)
Other	-	(18,039)	(54,711)	(72,750)
Closing balance, including:	**-**	**22,179**	**45,503**	**67,682**
Gross value	-	22,179	45,503	67,682

9. ACCRUALS AND PREPAYMENTS

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
Deferred tax assets	17,663	12,105
Other, including:	-	31,234
- costs of rental-related fees	-	31,234
Total non-current	**17,663**	**43,339**
Costs of rental-related fees	31,258	41,657
Insurance costs	1,027	536
Other	418	212
Total current	**32,703**	**42,405**

10. CAPITAL

As at 31 December 2017 the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a nominal value of PLN 0.10 each.

As at 31 December 2016 the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a nominal value of PLN 0.10 each.

On the balance sheet date, the ownership structure of the Company's share capital was as follows:

31 December 2017

Shareholder	*Number of shares*	*Percentage of share capital*	*Percentage of votes at the Shareholder Meeting*
Tomasz Biernacki with a subsidiary	50,103,000	51.1%	51.1%
Other shareholders	47,937,000	48.9%	48.9%
Total	**98,040,000**	**100.0%**	**100.0%**

31 December 2016

	Number of shares	*Percentage of share capital*	*Percentage of votes at the Shareholder Meeting*
Tomasz Biernacki	50,000,000	51.0%	51.0%
Polish Sigma Group S.a.r.l.	48,040,000	49.0%	49.0%
Total	**98,040,000**	**100.0%**	**100.0%**

On 1 December 2016 the Extraordinary Shareholder Meeting adopted a resolution to split the Shares by reducing the nominal value of one Share and to increase the number of Shares without reducing the Company's share capital. The number of Shares was increased from 9,804,000 to 98,040,000 under this resolution. According to the foregoing resolution, the exchange rate for all the Company's Shares is 1:10, i.e. each Share in the Company with a nominal value of PLN 1.00 each is exchanged for 10 Shares in the Company with a nominal value of PLN 0.10 each. This change was registered by the competent court of registration on 27 February 2016.

11. INTEREST-BEARING BANK CREDIT AND LOANS AND OTHER FINANCIAL LIABILITIES

The following table presents the financial liabilities to unrelated parties. Transactions under loans incurred and other financial liabilities to related parties are presented in Note 40.

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
Current		
Liabilities under financial lease agreements and hire-purchase agreements	40,384	38,051
Current account overdrafts	-	1,613
Investment loans	55,017	53,636
Loans to finance current activity	6,867	4,755
Borrowing	424	409
Bonds	654	-
Total current	**103,346**	**98,464**
Non-current		
Liabilities under financial lease agreements and hire-purchase agreements	79,981	70,665
Investment loans	287,251	285,484
Loans to finance current activity	24,008	19,998
Borrowing	1,051	1,475
Bonds	99,750	-
Total non-current	**492,041**	**377,622**

12. PROFIT DISTRIBUTION

12.1. Profit distribution for the previous year

The Ordinary Shareholder Meeting held on 27 February 2017 adopted a resolution to allocate the profit for the previous year to supplementary capital.

12.2. Profit distribution

The financial statements were prepared prior to the adoption of the resolution to distribute profit for the current year. The Company's Management Board will propose to allocate the profit for the financial year to the Company's supplementary capital.

13. PROVISIONS

The following movements in provisions transpired in the reporting periods covered by the financial statements:

Year ended 31 December 2017

(in thousands of PLN)	*Provision for deferred tax liability*	*Provision for pension and similar benefits*	*Benefits under the incentive program*	*Total*
As at 1 January 2017	**12,426**	**1,231**	**5,666**	**19,323**
Increases	4,423	139	-	**4,562**
Utilization	-	-	(5,666)	**(5,666)**
As at 31 December 2017, including:	**16,849**	**1,370**	-	**18,219**
Non-current	16,849	1,048	-	**17,897**
Current	-	322	-	**322**

Year ended 31 December 2016

(in thousands of PLN)	*Provision for deferred tax liability*	*Provision for pension and similar benefits*	*Benefits under the incentive program*	*Total*
As at 1 January 2016	**8,076**	**744**	**-**	**8,820**
Increases	4,350	487	5,666	**10,503**
As at 31 December 2016, including:	**12,426**	**1,231**	**5,666**	**19,323**
Non-current	12,426	1,024	-	**13,450**
Current	-	207	5,666	**5,873**

The terms and conditions of the incentive program have been described in note 37.

14. IMPAIRMENT LOSSES FOR RECEIVABLES

Year ended 31 December 2017

(in thousands of PLN)	*Impairment losses for non-current receivables*	*Impairment losses for current receivables*
As at 1 January 2017	**-**	**509**
Increases	-	140
- impairment losses for settlements	-	140
Utilization	-	(239)
- impairment losses for settlements	-	(239)
Reversal	-	(3)
- impairment losses for settlements	-	(3)
As at 31 December 2017	**-**	**407**

Year ended 31 December 2016

(in thousands of PLN)	*Impairment losses for non-current receivables*	*Impairment losses for current receivables*
As at 1 January 2016	**-**	**370**
Increases	-	160
- on account of cash shortages	-	22
- impairment losses for settlements	-	138
Utilization	-	(11)
- on account of cash shortages	-	(11)
Reversal	-	(10)
- impairment losses for settlements	-	(10)
As at 31 December 2016	**-**	**509**

15. NON-CURRENT LIABILITIES

Structure of the due and payable date of non-current liabilities:

31 December 2017

(in thousands of PLN)	*up to 1 year*	*1 - 3 years*	*3 - 5 years*	*more than 5 years*	*Total*
Non-current liabilities to related entities	-	-	-	-	-
To other entities in which the company has equity exposure	-	-	-	-	-
Non-current liabilities to related entities, including:	103,346	317,192	124,745	50,104	595,387
a) bank loans and borrowings	62,308	152,061	110,145	50,104	374,618
b) for issue of debt securities	654	99,750	-	-	100,404
d) for finance leases	40,384	65,381	14,600	-	120,365
Non-current liabilities, total as at 31 December 2017	**103,346**	**317,192**	**124,745**	**50,104**	**595,387**

31 December 2016

(in thousands of PLN)	*up to 1 year*	*1 - 3 years*	*3 - 5 years*	*more than 5 years*	*Total*
Non-current liabilities to related entities	-	-	-	-	-
To other entities in which the company has equity exposure	-	-	-	-	-
Non-current liabilities to related entities, including:	98,464	177,611	155,360	44,651	476,086
a) bank loans and borrowings	60,413	126,707	135,599	44,651	367,370
d) for finance leases	38,051	50,904	19,761	-	108,716
Non-current liabilities, total as at 31 December 2016	**98,464**	**177,611**	**155,360**	**44,651**	**476,086**

16. SOCIAL ASSETS AND LIABILITIES

The Act on the Company Social Benefits Fund of 4 March 1994, as amended requires companies employing 20 or more people to establish and run a company social benefits fund.
Social assets and liabilities did not occur in the year ended 31 December 2017 and 31 December 2016. The Company does not assess or carry any assets in the Company Social Benefits Fund in accordance with paragraph 15 of the Remuneration Bylaws (consolidated version of 31 October 2013, as amended).

17. ACCRUALS AND DEFERRED REVENUE

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
1. Negative goodwill	**-**	**-**
2a. Total other non-current deferred revenue	**439**	**-**
- grants	439	
2b. Total other current deferred revenue	**18,809**	**11,916**
Other, including:	18,809	11,916
- provision for unused holiday leave	18,132	11,811
- provision for auditing the financial statements and consulting services	475	105
- grants	202	-
Deferred revenue – total	**19,248**	**11,916**

18. LIABILITIES SECURED ON THE ENTITY'S ASSETS

The Company had the following types of liabilities secured on its assets (in thousands of PLN):

31 December 2017

Type of liability	*Date agreement signed*	*Balance of liability as at 31 December 2017** **(thousands of PLN)**	*Interest rate*	*Date of repayment*	*Type of liability*
1. Credit facility with mBank	2013-11-22	2,136	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
2. Credit facility with mBank	2012-03-08	6,052	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
3. Credit facility with PKO BP	2012-01-26	-	WIBOR + margin	2018-10-28	joint contractual mortgage, assignment of rights to an insurance policy
4. Credit facility with PKO BP	2011-04-13	3,788	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy
5. Credit facility with PKO BP	2013-05-23	44,236	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
6. Credit facility with PKO BP	2016-10-25	56,149	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy
7. Agreement for an accounts receivable limit with Raiffeisen	2011-12-20	-	WIBOR + margin	2018-11-30	assignment of accounts receivable on account of card payments
8. Credit facility with BZ WBK	2012-07-31	21,568	WIBOR + margin	2022-07-31	joint contractual mortgage, assignment of rights to an insurance policy
9. Credit facility with BZ WBK	2014-02-20	10,964	WIBOR + margin	2019-02-28	joint contractual mortgage, assignment of rights to an insurance policy
10. Credit facility with mBank	2014-01-09	18,512	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
11. Credit facility with ING	2014-04-15	37,502	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
12. Credit facility with Bank Millennium	2014-12-18	10,252	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights to an insurance policy
13. Credit facility with mBank	2015-04-17	18,590	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
14. Credit facility with BZ WBK	2015-02-05	20,774	WIBOR + margin	2020-01-31	joint contractual mortgage, assignment of rights to an insurance policy
15. Credit facility with BZ WBK	2014-07-31	3,050	WIBOR + margin	2019-07-31	joint contractual mortgage, assignment of rights to an insurance policy
16. Credit facility with ING	2014-04-15	-	WIBOR + margin	2018-04-14	joint contractual mortgage, assignment of rights to an insurance policy

17. Credit facility with Millennium	2012-04-27	-	WIBOR + margin	2018-06-25	joint contractual mortgage, assignment of rights to an insurance policy
18. Credit facility with BZ WBK	2016-09-30	19,441	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
19. Credit facility with mBank	2016-08-16	4,269	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
20. Credit facility with mBank	2016-04-11	-	WIBOR + margin	2018-10-09	joint contractual mortgage, assignment of rights to an insurance policy
21. Credit facility with Millennium	2016-05-12	20,623	WIBOR + margin	2021-05-11	joint contractual mortgage, assignment of rights to an insurance policy
22. Borrowing from Siemens	2016-02-24	1,475	WIBOR + margin	2021-02-28	bill of exchange
23. Credit facility with PKO BP	2016-10-25	35,104	WIBOR + margin	2025-04-24	joint contractual mortgage, assignment of rights to an insurance policy
24. Credit facility with ING	2016-04-15	18,745	WIBOR + margin	2024-04-14	joint contractual mortgage, assignment of rights to an insurance policy
25. Credit facility with BGŻ BNP Paribas	2017-03-20	-	WIBOR + margin	2019-03-19	joint contractual mortgage, assignment of rights to an insurance policy
26. Credit facility with BGŻ BNP Paribas	2017-03-20	22,262	WIBOR + margin	2027-03-19	joint contractual mortgage, assignment of rights to an insurance policy
TOTAL		**375,492**			

31 December 2016

Type of liability	*Date agreement signed*	***Balance of liability as at 31 December 2016**** **(thousands of PLN)**	*Interest rate*	*Date of repayment*	*Type of liability*
1. Credit facility with BPH	2011-10-21	27,290	WIBOR + margin	2021-10-20	joint contractual mortgage, assignment of rights to an insurance policy
2. Credit facility with mBank	2013-11-22	2,502	WIBOR + margin	2023-10-31	joint contractual mortgage, assignment of rights to an insurance policy
3. Credit facility with mBank	2012-03-08	7,565	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
4. Credit facility with PKO BP	2012-01-26	-	WIBOR + margin	2017-10-28	joint contractual mortgage, assignment of rights to an insurance policy
5. Credit facility with PKO BP	2011-04-13	4,904	WIBOR + margin	2021-04-12	joint contractual mortgage, assignment of rights to an insurance policy
6. Credit facility with PKO BP	2013-05-23	55,069	WIBOR + margin	2021-12-31	joint contractual mortgage, assignment of rights to an insurance policy
7. Credit facility with PKO BP	2016-10-25	63,682	WIBOR + margin	2024-10-24	joint contractual mortgage, assignment of rights to an insurance policy

8. Agreement for an accounts receivable limit with Raiffeisen	2011-12-20	-	WIBOR + margin	2018-11-30	assignment of accounts receivable on account of card payments
9. Credit facility with BZ WBK	2012-07-31	26,274	WIBOR + margin	2022-07-31	joint contractual mortgage, assignment of rights to an insurance policy
10. Credit facility with BZ WBK	2012-08-31	1,159	WIBOR + margin	2017-08-31	joint contractual mortgage, assignment of rights to an insurance policy
11. Credit facility with BZ WBK	2014-02-20	12,366	WIBOR + margin	2019-02-28	joint contractual mortgage, assignment of rights to an insurance policy
12. Credit facility with mBank	2014-01-09	21,698	WIBOR + margin	2023-11-30	joint contractual mortgage, assignment of rights to an insurance policy
13. Credit facility with ING	2014-04-15	45,834	WIBOR + margin	2022-04-14	joint contractual mortgage, assignment of rights to an insurance policy
14. Credit facility with BPH	2011-04-20	-	WIBOR + margin	2017-07-18	joint contractual mortgage, assignment of rights to an insurance policy
15. Credit facility with Bank Millennium	2014-12-18	12,862	WIBOR + margin	2020-06-17	joint contractual mortgage, assignment of rights to an insurance policy
16. Credit facility with mBank	2015-04-17	21,154	WIBOR + margin	2025-03-31	joint contractual mortgage, assignment of rights to an insurance policy
17. Credit facility with BZ WBK	2015-02-05	23,130	WIBOR + margin	2020-01-31	joint contractual mortgage, assignment of rights to an insurance policy
18. Credit facility with BZ WBK	2014-07-31	3,875	WIBOR + margin	2019-07-31	joint contractual mortgage, assignment of rights to an insurance policy
19. Credit facility with ING	2014-04-15	45	WIBOR + margin	2018-04-14	joint contractual mortgage, assignment of rights to an insurance policy
20. Credit facility with Millennium	2012-04-27	410	WIBOR + margin	2017-06-25	joint contractual mortgage, assignment of rights to an insurance policy
21. Credit facility with BZ WBK	2016-09-30	19,939	WIBOR + margin	2021-08-31	joint contractual mortgage, assignment of rights to an insurance policy
22. Credit facility with mBank	2016-08-16	4,785	WIBOR + margin	2021-07-30	joint contractual mortgage, assignment of rights to an insurance policy
23. Credit facility with mBank	2016-04-11	-	WIBOR + margin	2017-10-10	joint contractual mortgage, assignment of rights to an insurance policy
24. Credit facility with Millennium	2016-05-12	11,890	WIBOR + margin	2021-05-11	joint contractual mortgage, assignment of rights to an insurance policy
25. Borrowing from Siemens	2016-02-24	1,884	WIBOR + margin	2021-02-28	bill of exchange
TOTAL		**368,317**			

* Balance of liabilities net of commissions.

In addition, the liabilities for loans and lease agreements also have security interests in the form of blank bills of exchange.

19. CONTINGENT LIABILITIES, ALSO INCLUDING THE GUARANTEES AND SURETIES EXTENDED BY THE ENTITY, ALSO ON BILLS OF EXCHANGE

As at 31 December 2017 the Company had the following contingent liabilities:

1. surety for amortization of an investment loan drawn down by Agro-Rydzyna sp. z o.o., agreement no. 40/105/11/Z/IN of 14 December 2011 entered into with BRE Bank S.A. for the amount of PLN 14,750 thousand. The loan has a floating interest rate. The final date of repayment is 31 August 2021. The surety covers the principal, interest on the principal and other costs.

2. surety for amortization of an investment loan drawn down by Dino Krotoszyn sp. z o.o., agreement no. 50102010260000119601043363 of 25 October 2016 entered into with PKO BP S.A. for the amount of PLN 11,350 thousand. The loan has a floating interest rate. The final date of repayment is 24 October 2024. The surety covers the principal, interest on the principal and other costs.

3. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., agreement no. 40/090/16/Z/IN of 16 August 2016 entered into with mBank S.A. for the amount of PLN 32,000 thousand. The loan has a floating interest rate. The final date of repayment is 30 July 2021. The surety covers the principal, interest on the principal and other costs.

As at 31 December 2016 the Company had the following contingent liabilities:

1. surety for amortization of an investment loan drawn down by Agro-Rydzyna sp. z o.o., agreement no. 40/105/11/Z/IN of 14 December 2011 entered into with BRE Bank S.A. for the amount of PLN 14,750 thousand. The loan has a floating interest rate. The final date of repayment is 31 August 2021. The surety covers the principal, interest on the principal and other costs.

2. surety for amortization of an investment loan drawn down by Dino Krotoszyn sp. z o.o., agreement no. 50102010260000119601043363 of 25 October 2016 entered into with PKO BP S.A. for the amount of PLN 11,350 thousand. The loan has a floating interest rate. The final date of repayment is 24 October 2024. The surety covers the principal, interest on the principal and other costs.

3. surety for amortization of an overdraft agreement drawn down by Agro-Rydzyna sp. z o.o., agreement no. K00911/14 of 29 July 2014 entered into with Bank Zachodni WBK S.A. for the amount of PLN 5,000 thousand. The loan has a floating interest rate. The final date of repayment is 31 August 2017. The surety covers the principal, interest on the principal and other costs.

4. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., agreement no. 40/090/16/Z/IN of 16 August 2016 entered into with mBank S.A. for the amount of PLN 32,000 thousand. The loan has a floating interest rate. The final date of repayment is 30 July 2021. The surety covers the principal, interest on the principal and other costs.

20. OTHER AGREEMENTS NOT INCORPORATED IN THE BALANCE SHEET

As at 31 December 2017 and as at 31 December 2016 the Company did not have any material off-balance sheet liabilities not disclosed in the financial statements.

21. SALES SPLIT BY NATURE AND TERRITORY

The sales revenue split by nature in 2017 and 2016 was as follows:

Type of activity (in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
1. Sales of services	8,474	6,369
2. Sales of merchandise	4,492,792	3,351,567
Net sales revenues, total	**4,501,266**	**3,357,936**

All the sales revenues in the current and previous financial year were generated domestically.

22. IMPAIRMENT LOSSES FOR FIXED ASSETS

The Company did not take any impairment losses for fixed assets.

23. INTEREST AND FX GAINS AND LOSSES ADDED TO THE PRICE OF BUYING MERCHANDISE OR THE COST OF MANUFACTURING PRODUCTS IN THE FINANCIAL YEAR

In the financial year ending 31 December 2017 and in the previous year the Company did not add interest or FX gains and losses to the price of buying merchandise or the cost of manufacturing products.

24. INVENTORIES MEASURED AT NET SALES PRICE

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
1. Merchandise (as the net achievable value)	358,573	270,798
Total inventories measured at the net sales price	**358,573**	**270,798**

25. INFORMATION CONCERNING REVENUES, EXPENSES AND THE RESULTS OF DISCONTINUED ACTIVITY IN THE FINANCIAL YEAR OR OF ACTIVITY THAT IS EXPECTED TO BE DISCONTINUED NEXT YEAR

The Company did not discontinue any activity in the financial year, nor does it intend to discontinue any type of activity in the following year.

26. INCOME TAX

The reconciliation of profit before tax to taxable income is as follows:

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
Gross profit / (loss)	**125,532**	**296,030**
(-) Current year revenues not treated as taxable income	**(11,612)**	**(233,839)**
- inventory adjustment at purchase price	1,637	3,312
- discount of trade payables	742	2,011
- deferred income	(9,652)	(9,779)
- accrued interest	(3,851)	(188)
- other (including foreign exchange gains)	(488)	(26)
- received dividends	-	(229,169)
(+) Current year expenses not recognized as tax deductible expenses	**31,454**	**21,159**
- provision for unused holiday leave and other employee benefits (including salaries / bonuses)	2,452	11,117
- social security contributions, payroll for November - December	13,841	9,216
- mandate contracts paid in the subsequent year	1,326	392
- provision for other expenses (including security services, energy costs, liabilities requiring safety deposits)	12,196	12,268
- impairment losses established for current receivables	-	138
- differences between depreciation for tax purposes and for balance sheet purposes	26,820	13,506
- finance leases / operation leases in the balance sheet	(37,552)	(27,206)
- tax effect of the incentive program	7,500	-
- accrued interest	4,385	454

- other (including interest, donations)	486	1,274
(+) Previous year revenues subject to taxation in the current year	**214**	**206**
- interest on loan agreements	188	167
- foreign exchange gains	26	39
(-) Previous year expenses recognized as tax deductible expenses in the current year	**(10,067)**	**(10,586)**
- social security contributions, payroll for November - December	(9,216)	(6,909)
- mandate contracts paid in the subsequent year	(392)	(571)
- provision for energy costs	-	(2,736)
- other (including the retraction of costs - 30/90 deadline CIT; interest)	(459)	(370)
Income after income tax	**135,521**	**72,970**
Other adjustments	**-**	**(3,415)**
Taxable income	**135,521**	**69,555**
Tax rate	19%	19%
Income tax (current)	25,749	13,215
Other adjustments	8,414	3,415
Movement in the provision / deferred tax asset	(1,135)	(48)
Income tax – total	**33,028**	**16,582**

In 2013, the Company prepaid rents for the lease of investment property within the Group. According to analysis performed by the Management Board, tax regulations stipulate that prepaid rents became taxable revenue on the date of their receipt, whereas tax-deductible expense is settled throughout the term of the lease agreement. As at 31 December 2017, the accruals on account of prepaid rent were PLN 31,258 thousand and PLN 72,889 thousand as at 31 December 2016.

In 2015, the Management Board made a decision to concentrate its marketing and trademark management activities in Pol-Food Polska sp. z o.o., a company which had previously been engaged in private label management activities within the Group. As a result of this decision, intangible assets in the form of "Dino" and "Agro – Rydzyna" trademarks were transferred Pol-Food Polska sp. z o.o. Also transferred to this company were employees in charge of discharging those functions who had previously been employed by other member companies of the Group. Among the reasons for the reorganization decision was the objective to create within the Group an entity specialized in carrying out marketing and trademark management activities. The utilization of existing competence of the staff of Pol-Food Polska sp. z o.o. reinforced by that of other companies' employees is intended to enable the creation, within the Group, of a professional competence center streamlining the Group's operations, reducing its operating expenses and ensuring better legal protection for its trademarks. Transactions related to the transfer of the said trademarks to Pol-Food Polska sp. z o.o. were effected on the basis of the fair values of the trademarks as at the transaction date. These values were also used as the basis for the depreciation of the trademarks for tax purposes by the entity that became their new owner as a result of the reorganization. Consequently, a negative temporary difference was created between the carrying amount and the tax value of these trademarks. The Management Board estimated future tax results of both Pol-Food Polska sp. z o.o. and the Group and applied its discretion to the possibility of recognizing trademark depreciation charges as tax-deductible expenses. As at 31 December 2017 and 31 December 2016, the Company did not recognize any deferred tax asset on this account.

In 2016 the Company received a dividend from a subsidiary in which the Company holds 100% of its shares. The dividend was tax exempt because the Company holds 100% of its shares in a subsidiary for more than 2 years (according to art. 22 of the Corporate Income Tax Act).

Regulations regarding VAT, corporate and personal income tax and social security contributions are subject to frequent changes. As a result, there is frequently no reference to entrenched regulations or legal precedents. The binding regulations also contain uncertainties resulting in differences in opinions regarding the legal interpretation of tax regulations between government authorities and between government authorities and companies. Tax settlements and others (e.g. customs or foreign currency related issues) may be subject to inspection by administrative authorities authorized to impose high penalties, and any additional liabilities assessed as a result of such an inspection must be paid together plus high interest. These conditions mean that the tax risk in Poland is higher than usually exists in countries with a more mature fiscal system. Tax settlements may be subject to inspection for five years. As a result, the amounts carried in the financial statements may be subject to change at a later date after they are ultimately determined by the tax authorities.

Differences by virtue of the following form part of the provision / deferred tax asset:

	Balance sheet		*Profit and loss account for the year ended*	
	31.12.2017	*31.12.2016*	*31.12.2017*	*31.12.2016*
Provision for deferred tax liability				
Accelerated tax depreciation	9,453	3,755	5,698	423
Fixed assets used under a lease agreement	1,900	5,427	(3,527)	2,322
Accrued interest unpaid as at the balance sheet date	752	331	421	299
Measurement of inventory at the purchase price	-	-	-	(1,108)
Deferred income	4,742	2,908	1,834	2,416
Foreign exchange gains	2	5	(3)	(2)
Provision for deferred tax liability	**16,849**	**12,426**	**4,423**	**4,350**
Deferred tax assets				
Provisions for jubilee awards and pension severance pay	260	234	26	93
Provision for unused holiday leave	3,445	2,244	1,201	653
Provision for employee benefits / bonuses	599	1,368	(769)	1,368
Mandate contracts paid in the subsequent year	171	74	97	(34)
Social security contributions, payroll for November - December	2,616	1,751	865	438
Provision reducing inventories	8,496	4,841	3,655	798
Provision for future income	-	-	-	(21)
Provision for auditing the financial statements	90	20	70	13
Provision for interest to be paid	532	86	446	79
Provision for other costs	1,414	1,448	(34)	1,058
Impairment losses established for current receivables	39	39	-	21
Foreign exchange losses	1	-	1	(2)
Other	-	-	-	(66)
Deferred tax assets	**17,663**	**12,105**	**5,558**	**4,398**
Deferred tax expense			**(1,135)**	**(48)**

27. OTHER OPERATING INCOME

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
Grants	371	-
Other operating income, including:	2,394	2,080
- reversal of impairment losses for receivables	3	10
- received payments for damages	1,063	1,375
- income for making timely payments (0.3%)	74	53
- rounding	26	32
- other	1,228	610
Other operating income, total	**2,765**	**2,080**

28. OTHER OPERATING EXPENSES

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
Loss on disposal of non-financial non-current assets, including:	1,193	754
- loss on the disposal of fixed assets and intangible assets	1,193	754
Other operating expenses, including:	731	1,226
- consequences of theft	285	274

- donations	40	97
- costs of court proceedings	3	1
- other	263	694
- written off receivables	140	160
Other operating expenses, total	**1,924**	**1,980**

29. FINANCIAL INCOME

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
Profit by virtue of participation in related entities, including:	-	229,169
- profit by virtue of participation in related entities	-	229,169
Interest, including:	5,892	3,065
- interest from related companies	5,499	2,685
- interest from other business partners	353	367
- bank interest	40	13
Other, including:	52	30
- foreign exchange gains and losses	37	-
- other financial income	15	30
Financial income, total	**5,944**	**232,264**

30. FINANCIAL EXPENSES

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
Interest, including:	37,194	31,952
- interest paid to related companies	2,168	3,859
- discount of trade payables	15,569	11,526
- bank interest	14,670	13,418
- interest on lease agreements	4,123	3,149
- interest on bonds	656	-
- other interest	8	-
Other, including:	6,523	6,619
- foreign exchange gains and losses	-	46
- other financial expenses (commissions, sureties)	6,523	6,573
Financial expenses, total	**43,717**	**38,571**

31. COST OF MANUFACTURING FIXED ASSETS UNDER CONSTRUCTION

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
Cost of manufacturing fixed assets under construction, including:	3,446	2,206
- costs of the investment department	3,446	2,206

32. INCOME AND COSTS OF AN EXTRAORDINARY AMOUNT OR THAT OCCURRED INCIDENTALLY

In the financial year ending 31 December 2017 and in the previous year there were no income and costs of an extraordinary amount or that occurred incidentally.

33. COMPOSITION OF CASH IN THE STATEMENT OF CASH FLOWS

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
Cash in the bank	**54,477**	**26,965**
- current accounts	15,472	1,835
- cash *en route*	39,005	25,130
Cash on hand	**12,583**	**8,778**
Other cash	**118,548**	**18,489**
- current deposits	93,258	5,574
- payment cards	25,290	12,915
Cash, total	**185,608**	**54,232**

34. REASONS FOR DIFFERENCES BETWEEN THE BALANCE SHEET MOVEMENTS IN SOME LINE ITEMS AND THE MOVEMENTS FOLLOWING FROM THE STATEMENT OF CASH FLOWS

Interest and profit sharing (in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
Result on financing activity for interest	31,302	28,887
Financial expenses - commissions and sureties received	6,798	6,526
Dividends due	-	(229,169)
Interest and profit sharing in the statement of cash flows	**38,100**	**(193,756)**

Receivables (in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
Balance sheet movement in net non-current and current receivables	(12,994)	(21,496)
Movement in receivables on the sale of fixed assets	(261)	(10)
Movement in receivables in the statement of cash flows	**(13,255)**	**(21,506)**

Liabilities (in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
Balance sheet movement of current and non-current liabilities	422,964	243,920
Balance sheet movement of current and non-current loans and borrowings	(7,885)	(13,802)
Movement in finance lease liabilities	(11,648)	(27,313)
Movement in liabilities for the fees for received sureties	(274)	17
Movement in settlements on the purchase of fixed assets	(2,455)	(37,396)
Movement in bonds	(136,000)	-
Movement in liabilities in the statement of cash flows	**264,702**	**165,426**

In 2017 cash flow from operating activities was adjusted for the costs of the incentive program totaling PLN 7,500 thousand.

35. INFORMATION CONCERNING HEADCOUNT WITH A BREAKDOWN INTO OCCUPATIONAL GROUPS

Group of employees	*Year ended 31.12.2017*	*Year ended 31.12.2016*

Management Board	2	2
White-collar employees	1,506	1,203
Blue-collar employees	10,884	8,766
Headcount, total	**12,392**	**9,971**

36. INFORMATION CONCERNING THE FEE CHARGED BY THE STATUTORY AUDITOR OR THE ENTITY AUTHORIZED TO AUDIT THE FINANCIAL STATEMENTS

The table below presents the fee charged by the entity authorized to audit the financial statements paid or due for the year ended 31 December 2017 and 31 December 2016 split by the types of services:

Type of services	*Year ended 31.12.2017*	*Year ended 31.12.2016*
Obligatory audit of the annual financial statements	154	115
Review of interim financial statements	71	
Other services	-	414
Tax consulting services	-	-
Total, including:	**568**	**529**
- due as at the balance sheet date	**135**	**59**
- paid as at the balance sheet date	**433**	**470**

** Other services pertain to audit services related to the review of data included in theprospectus before the initial public offering of shares.*

37. INFORMATION CONCERNING COMPENSATION, INCLUDING COMPENSATION FROM PROFIT AND PENSION BENEFITS PAID OR DUE TO PERSONS IN THE MANAGING AND SUPERVISING OR ADMINISTERING BODIES

The compensation of the persons in the Company's managing and supervising or administering bodies was as follows:

Compensation (in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
Company's Management Board	1,137	630
Supervisory Board	532	448
Compensation, total	**1,669**	**1,078**

In addition to the benefits described above, the Management Board members received the benefits specified in the agreements governing the terms of membership in the Company's incentive program and in the incentive program established by Polish Sigma Group S.à r.l. in Luxembourg, which was the Company's shareholder at the end of 2016, payments under which were conditional on the success of the IPO of Dino Polska. According to the terms of the programs, the Management Board members were obligated to purchase Dino Polska shares in the Company's IPO for almost 50% of the benefits received (after income tax). The detailed provisions of the these programs have been presented in the Company's prospectus, as approved by KNF on 17 March 2017, and in the Company's financial statements for 2016. Michał Krauze received PLN 1,300 thousand and Szymon Piduch PLN 6,200 thousand under the incentive program. The total amount awarded to the Management Board members by Polish Sigma Group S.à r.l. was PLN 7,500 thousand (out of which 17.33% was paid to Michał Krauze and 82.67% to Szymon Piduch).

The Company applies the International Financial Reporting Standards in all the matters that are not regulated by the Polish accounting standards. According to the regulations in IFRS 2 “Share-based Payments”, the foregoing amount was recognized as a compensation cost in correspondence with the Company’s other equity.

38. INFORMATION ABOUT LOANS AND BENEFITS OF A SIMILAR NATURE EXTENDED TO PERSONS IN THE MANAGING AND SUPERVISING OR ADMINISTERING BODIES

In the financial year ending 31 December 2017 and in the previous year the Company did not extend any loans or benefits of a similar nature to persons in the managing and supervising or administering bodies.

39. INFORMATION ABOUT JOINT VENTURES NOT SUBJECT TO CONSOLIDATION

The Company did not undertake any joint ventures not subject to consolidation.

40. INFORMATION ABOUT THE GROUP AND TRANSACTIONS WITH RELATED ENTITIES

a) Group

The Company functions within the DINO Polska Group.

The Company prepares consolidated financial statements for the group in which it is the parent company.

b) Parent company

Tomasz Biernacki doing business as Zakłady Mięsne "Biernacki" Tomasz Biernacki with its registered office in Czeluścin, Czeluścin 6, 63-830 Pępowo is the Company’s parent company.

The size of transactions with the parent company was as follows:

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Procurements	491	527
Sales	1	-

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Receivables on account of goods, work and services	6	-
Payables on account of goods, work and services	105	53

c) Transactions with other related parties, including parties along with the Company that are under the parent company’s joint control

The size of transactions with subsidiaries and associates was as follows:

"Agro-Rydzyna" spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Procurements	588,338	432,648
Sales	1,383	1,009

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Receivables on account of goods, work and services	324	147
Payables on account of goods, work and services	90,367	72,463
Other liabilities	52	15

*Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych in liquidation**

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Interest - financial expenses	-	2,029

** On 26 June 2017, the Regional Court in Warsaw handed down a decision to delete Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych in liquidation.*

.

Vitrena Holdings Ltd

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Interest – financial income	-	39
Received dividends i profit sharing	-	229,169

Centrum Wynajmu Nieruchomości spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Procurements	26,488	22,244
Sales	2,123	5,939
Interest – financial income	3,661	-

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Receivables on account of goods, work and services	718	274
Payables on account of goods, work and services	2,162	431
Loans granted	-	1
Loans received	-	53
Other receivables	314	61
Other liabilities	73	2
Other securities	25,779	22,118

Centrum Wynajmu Nieruchomości 1 S.A.

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*

	Total	Total
Procurements	4,102	5,089
Sales	368	347
Interest - financial expenses	101	13
Interest – financial income	-	260

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Payables on account of goods, work and services	371	24
Loans received	2,400	3,049
Other receivables	16	26

Centrum Wynajmu Nieruchomości 2 S.A.

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Procurements	9,255	9,200
Sales	440	390
Interest – financial income	736	851

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Receivables on account of goods, work and services	1	4
Payables on account of goods, work and services	830	168
Loans granted	18,563	17,378
Loans received	-	96
Other receivables	-	72
Other liabilities	55	-

Centrum Wynajmu Nieruchomości 3 S.A.

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Procurements	8,618	9,006
Sales	453	346
Interest – financial income	378	789

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Receivables on account of goods, work and services	-	-
Payables on account of goods, work and services	814	256
Loans granted	9,733	7,031
Loans received	-	78
Other receivables	-	112
Other liabilities	59	-

Centrum Wynajmu Nieruchomości 4 S.A.

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*

	Total	Total
Procurements	4,943	5,059
Sales	388	330
Interest – financial income	392	384

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Receivables on account of goods, work and services	-	9
Payables on account of goods, work and services	406	436
Loans granted	10,435	9,038
Loans received	-	67
Other receivables	8	47
Other liabilities	20	-

Centrum Wynajmu Nieruchomości 5 S.A.

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Procurements	3,773	4,155
Sales	390	164
Interest - financial expenses	62	9
Interest – financial income	1	1

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Payables on account of goods, work and services	295	386
Loans granted	401	-
Loans received	1,003	1,779
Other receivables	1	20
Other liabilities	9	-

Centrum Wynajmu Nieruchomości 6 S.A.

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Procurements	7,280	6,922
Sales	468	408
Interest - financial expenses	-	4
Interest – financial income	291	298

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Receivables on account of goods, work and services	-	-
Payables on account of goods, work and services	657	722
Loans granted	6,422	12,042
Loans received	-	100
Other receivables	158	60
Other liabilities	48	-

Centrum Wynajmu Nieruchomości Marketing spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)	Year ended 31.12.2017	Year ended 31.12.2016
	Total	Total
Sales	8	6

(in thousands of PLN)	31.12.2017	31.12.2016
	Total	Total
Receivables on account of goods, work and services	1	-

Centrum Wynajmu Nieruchomości Sp. z o.o. Marketing 2 SKA (in liquidation)

(in thousands of PLN)	Year ended 31.12.2017	Year ended 31.12.2016
	Total	Total
Sales	8	11

(in thousands of PLN)	31.12.2017	31.12.2016
	Total	Total
Receivables on account of goods, work and services	1	-

Dino Krotoszyn spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)	Year ended 31.12.2017	Year ended 31.12.2016
	Total	Total
Procurements	18,751	14,830
Sales	225	159
Interest – financial income	32	63

(in thousands of PLN)	31.12.2017	31.12.2016
	Total	Total
Receivables on account of goods, work and services	2	-
Payables on account of goods, work and services	3,668	1,684
Loans granted	1,729	-

Dino Oil spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)	Year ended 31.12.2017	Year ended 31.12.2016
	Total	Total
Sales	8	11
Interest – financial income	1	-

(in thousands of PLN)	31.12.2017	31.12.2016
	Total	Total
Receivables on account of goods, work and services	2	12
Loans granted	34	13

Dino Północ spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Sales	8	8

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Receivables on account of goods, work and services	20	10

Dino Południe spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Sales	47	8
Interest – financial income	7	-

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Receivables on account of goods, work and services	64	10
Loans granted	6	-
Other receivables	1	-

Pol-Food Polska spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Procurements	50,301	38,607
Interest - financial expenses	2,005	1,804

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Payables on account of goods, work and services	56,068	40,967
Other securities	55,380	18,100
Other liabilities	-	61

Value of transactions with entities which are under joint control of the parent entity together with the Company:

*DAVI Przedsiębiorstwo Handlowe spółka z ograniczoną odpowiedzialnością**

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Procurements	-	1,616
Sales	-	2

** Since 22 June 2016 DAVI Trading Company sp. z o.o. is no longer a party related to Tomasz Biernacki and consequently the transactions effected after that date are presented as transactions with other entities.*

The amount of the transactions with other affiliated companies was:

TBE spółka z ograniczoną odpowiedzialnością

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Sales	5	5

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Receivables on account of goods, work and services	1	-

Krot Invest KR Inżynieria sp. z o.o. SKA

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Procurements	181,129	112,222
Sales	594	419

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Receivables on account of goods, work and services	66	43
Payables on account of goods, work and services	-	8
Other receivables	20	-
Other liabilities	41,366	46,172

Krot Invest 2 KR Inżynieria sp. z o.o. sp.k.

(in thousands of PLN)	*Year ended 31.12.2017*	*Year ended 31.12.2016*
	Total	*Total*
Procurements	9,205	6,439
Sales	3	2

(in thousands of PLN)	*31.12.2017*	*31.12.2016*
	Total	*Total*
Receivables on account of goods, work and services	-	1
Payables on account of goods, work and services	1,521	1,573
Other liabilities	65	74

41. TRANSACTIONS WITH OTHER RELATED PARTIES ON A NON-ARM'S LENGTH BASIS

Transactions concluded by the Company with its related entities in the year ended 31 December 2017 and in the preceding year were concluded on an arm's length basis.

42. LIST OF ENTITIES IN WHICH THE COMPANY IS A SHAREHOLDER INCURRING UNLIMITED MATERIAL LIABILITY

In the financial year ended 31 December 2017 and in the previous year the Company was not a shareholder incurring unlimited material liability in any entity.

43. LIST OF ENTITIES IN WHICH THE COMPANY HOLDS CAPITAL OR VOTES IN THE ENTITY'S DECISION-MAKING BODY

31 December 2017

Name of the entity	*Registered office*	*Book value of the ownership interest / shares*	*Share in equity (%)*	*Net profit / (loss) for the year ended 31 December 2017*	*Equity as at 31 December 2017*
"Agro-Rydzyna" sp. z o.o.*	Poland, Kłoda	99,771	100%	15,865	65,422
Vitrena Holdings Ltd.**	Cyprus, Limassol	4	100%	(2)	75
Centrum Wynajmu Nieruchomości sp. z o.o.*	Poland, Krotoszyn	51	100%	3,836	11,022
Dino Krotoszyn sp. z o.o.*	Poland, Krotoszyn	4,000	100%	5,178	23,609
Dino Najbliżej Ciebie Foundation**	Poland, Krotoszyn	10	100%	-	-
Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA**	Poland, Krotoszyn	50	100%	(13)	14
Dino Oil Sp. z o.o.**	Poland, Krotoszyn	5	100%	(11)	(24)
Dino Południe sp. z o.o.**	Poland, Krotoszyn	10,005	100%	(44)	9,948
Dino Północ sp. z o.o.**	Poland, Krotoszyn	5	100%	(11)	(19)
Pol-Food Polska sp. z o.o.*	Poland, Krotoszyn	9,866	90%	28,201	365,500
Centrum Wynajmu Nieruchomości 1 S.A.*	Poland, Krotoszyn	139,061	99%	11,189	140,233
Centrum Wynajmu Nieruchomości 2 S.A.*	Poland, Krotoszyn	91,195	99%	7,812	109,640
Centrum Wynajmu Nieruchomości 3 S.A.*	Poland, Krotoszyn	90,147	99%	7,425	107,325
Centrum Wynajmu Nieruchomości 4 S.A.*	Poland, Krotoszyn	99,944	99%	7,550	114,549
Centrum Wynajmu Nieruchomości 5 S.A.*	Poland, Krotoszyn	98,198	99%	7,212	113,959
Centrum Wynajmu Nieruchomości 6 S.A.*	Poland, Krotoszyn	94,839	99%	7,454	109,322

* Company's tentative data before audit by auditor
** Company not subject to audit by a chartered auditor

31 December 2016

Name of the entity	*Registered office*	*Book value of the ownership interest / shares*	*Share in equity (%)*	*Net profit (loss) for the year ended 31 December 2016*	*Equity as at 31 December 2016*
"Agro-Rydzyna" sp. z o.o.*	Poland, Kłoda	99,771	100%	5,986	49,445
Vitrena Holdings Ltd.**	Cyprus, Limassol	4	100%	229,413	90
Centrum Wynajmu Nieruchomości sp. z o.o.*	Poland, Krotoszyn	51	100%	5,581	7,185
Dino Krotoszyn sp. z o.o. *	Poland, Krotoszyn	4,000	100%	4,004	18,432
Dino Najbliżej Ciebie Foundation**	Poland, Krotoszyn	10	100%	-	-
Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA**	Poland, Krotoszyn	50	100%	(10)	27
Dino Oil Sp. z o.o.**	Poland, Krotoszyn	5	100%	(13)	(16)
Dino Południe sp. z o.o. (formerly Dino Market sp. z o.o.)**	Poland, Krotoszyn	5	100%	(2)	3
Dino Północ sp. z o.o. (formerly Dino Logistic Północ sp. z o.o.)**	Poland, Krotoszyn	5	100%	(2)	3
Pol-Food Polska sp. z o.o. **	Poland, Krotoszyn	9,866	90%	20,089	318,535
Centrum Wynajmu Nieruchomości 1 S.A.	Poland, Krotoszyn	139,061	99%	13,496	124,962
Centrum Wynajmu Nieruchomości 2 S.A.	Poland, Krotoszyn	91,195	99%	8,703	99,929
Centrum Wynajmu Nieruchomości 3 S.A.	Poland, Krotoszyn	90,147	99%	8,144	98,324
Centrum Wynajmu Nieruchomości 4 S.A.	Poland, Krotoszyn	99,944	99%	8,700	104,575
Centrum Wynajmu Nieruchomości 5 S.A.	Poland, Krotoszyn	98,198	99%	8,704	104,272
Centrum Wynajmu Nieruchomości 6 S.A.	Poland, Krotoszyn	94,839	99%	8,146	99,916

* Company's tentative data before audit by auditor
** Company not subject to audit by a chartered auditor

The percentage of voting rights corresponds to the shareholding in the share capital.

44. AVOIDANCE OF PREPARATION OF CONSOLIDATED FINANCIAL STATEMENTS

The Company prepares consolidated financial statements.

45. MERGERS OF COMMERCIAL COMPANIES

The Company did not merge with other entities during the financial year and previous financial year.

46. FINANCIAL INSTRUMENTS

Objectives and principles of managing financial risk

The Company is exposed to market risk, which encompasses mostly the risk of changing interest rates, but is not exposed to foreign exchange rate fluctuation risk. The Company does not hold and does not issue any financial derivatives held for trading.

The Company has guidelines and recommendations in place for managing financial risk, which define its comprehensive operating strategies, risk tolerance level and the overall risk management philosophy.

Interest rate risk

The Company's exposure to market risk caused by volatility of interest rates concerns primarily received loans and concluded lease contracts. The Company does not hedge its investment portfolio using financial derivatives.

Foreign exchange risk

Since a predominant part of the revenues and costs is on Polish zloty, the Company is not exposed to any material foreign exchange risk on account of its transactions.

Credit risk

Due to the nature of the Company (predominant part of the turnover is in cash) credit risk is insignificant. The Company does not use and hedging against credit risk. Potential credit risk pertains to trade receivables and granted loans, including loans granted to subsidiaries which, as at 31 December 2017, amount to PLN 47,323 thousand.

Interest income and costs following from concluded contracts

The table below presents the interest income and costs following from concluded contracts and pertaining to all of the Company's financial instruments, which were in the financial statements.

Year ended 31 December 2017

Financial asset / liability category	*Realized interest*	*Accrued interest (unrealized)*		
		up to 3 months	*from 3 to 12 months*	*over 12 months*
Granted loans and own receivables	1,936	3,956	-	-
Liabilities held for trading	15,569		-	-
Other short-term financial liabilities	18,817	2,808	-	-

Year ended 31 December 2016

Financial asset / liability category	*Realized interest*	*Accrued interest (unrealized)*		
		up to 3 months	*from 3 to 12 months*	*over 12 months*
Granted loans and own receivables	2,877	188	-	-
Liabilities held for trading	11,526	-	-	-
Other short-term financial liabilities	20,416	10	-	-

Description of financial instruments

31 December 2017

	Financial assets held to maturity	*Granted loans and own receivables*	*Financial assets held for trading*	*Financial assets available for sale*	*Other financial liabilities*
Quantity of financial instruments	5	45	-	-	1,215
Value of financial instruments	93,258	47,323	-	-	595,387
Material terms and dates, which may influence the size, time distribution and certainty of future cash flows	Current bank term deposits	Loans granted for up to one year, fixed interest rate			Current financing loans received from related entities for up to 4 years, fixed interest rate. Operating and financial lease agreements entered into with, among others, ING Leasing, BRE Leasing, SG EQUIPMENT, SGB Leasing, Nordea Finance - agreements concluded for a term from 2 to 5 years. Loan agreements (note 11, 18). Outstanding loans bearing interest at a variable rate plus margins.

31 December 2016

	Financial assets held to maturity	*Granted loans and own receivables*	*Financial assets held for trading*	*Financial assets available for sale*	*Other financial liabilities*
Quantity of financial instruments	2	39	-	-	1,215
Value of financial instruments	5,574	45,503	-	-	476,086
Material terms and dates, which may influence the size, time distribution and certainty of future cash flows	Short-term deposit in mBank S.A. and in PKO BP S.A.	Loans granted for up to one year, fixed interest rate			Current financing loans received from related entities for up to 4 years, fixed interest rate. Operating and financial lease agreements entered into with, among others, ING Leasing, BRE Leasing, SG EQUIPMENT, SGB Leasing, Nordea Finance - agreements concluded for a term from 2 to 5 years. Loan agreements (note 11, 18).

Fair value

The Company believes that the carrying amounts of all the financial instruments presented in the financial statements do not differ from their fair values.

	Carrying amount	
	31.12.2017	*31.12.2016*
Financial assets		
Cash	185,608	54,232
Trade receivables	30,643	25,785
Other financial assets (non-current)	738,809	727,151
Total	**955,060**	**807,168**
Financial liabilities		
Current account overdraft	-	1,613
Trade liabilities	765,966	529,277
Interest-bearing bank credit and loans:		
- finance lease and hire-purchase liabilities	120,365	108,717
- Loans and borrowings based on floating interest rate	374,618	365,756
Bonds	100,404	-
Total	**1,361,353**	**1,005,363**

47. EVENTS AFTER THE REPORTING PERIOD

In the opinion of the Management Board, there were no other material events after the balance sheet date requiring disclosure in the financial statements.

Iwona Kowalczyk	Szymon Piduch	Michał Krauze
Chief Accountant	President of the Management Board	Member of the Management Board